

THE HONG KONG POLYTECHNIC UNIVERSITY

SCHOOL OF ACCOUNTING AND FINANCE

Final Examination

Subject : Financial Accounting (AF2108)

Date : 6 May 2025

Time : 3:15 p.m. – 6:15 p.m.

Time Allowed : 3 hours

Session : 2024/2025 (Semester Two)

This question paper has **14** pages including this page.

Instructions to Candidates:

1. Answer **ALL** questions
 2. Total marks: 100
 3. You must submit this question paper together with the answer book at the end of the examination. **Please ensure your seat number, tutorial number, tutor name, student name and student number are entered properly on both the exam paper and the answer book, otherwise, 10 marks will be deducted.**
 4. **NO pencil is allowed. If pencil is used, 10 marks will be deducted and your paper will not be available for your access after the examination.**
 5. Silent and non-programmable calculator is allowed.
 6. This is a closed book examination.
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DO NOT TURN OVER THE PAPER UNTIL YOU ARE TOLD TO DO SO

Student Number: _____

Student Name: _____

Tutorial Group: (e.g. Tue 10:30 Josephine) _____

Seat Number: _____

Section A**Question 1 (20 marks)**

WonderJoy Enterprises Limited engages in wholesaling and retailing of children toys and books in Hong Kong.

The condensed statements of financial position and income statements for WonderJoy Enterprises Limited are as follows:

WonderJoy Enterprises Limited
Statements of Financial Position
31 December

	2023	2022	2021
	\$	\$	\$
Plant and equipment (net)	930,000	980,000	808,000
Intangible assets	275,000	300,000	325,000
Short term investments	380,000	150,000	123,000
Prepaid insurance (less than 12 months)	8,000	8,000	8,000
Inventory	170,000	160,000	161,000
Accounts receivables (net)	222,400	196,000	200,000
Cash	145,000	222,000	235,000
	<u>2,130,400</u>	<u>2,016,000</u>	<u>1,860,000</u>
Accounts payable	320,000	440,000	550,000
Salaries payable and other current liabilities	22,000	50,000	48,000
Bank Loan	90,000	120,000	150,000
Share Capital	400,000	400,000	300,000
Retained earnings	1,298,400	1,006,000	812,000
	<u>2,130,400</u>	<u>2,016,000</u>	<u>1,860,000</u>

WonderJoy Enterprises Limited
Income Statements
For the year ended 31 December

	2023	2022
	\$	\$
Gross Sales	1,100,000	1,088,000
Less: Sales allowances	<u>12,000</u>	<u>14,000</u>
Net sales	1,088,000	1,074,000
Less: Cost of goods sold	<u>430,000</u>	<u>470,000</u>
Gross profit	658,000	604,000
Operating expenses	189,000	200,000
Less: Interest expense	9,600	12,000
Less: Income tax	<u>51,000</u>	<u>40,000</u>
Net income	<u>408,400</u>	<u>352,000</u>
Beginning Retained Earnings	1,006,000	812,000
Dividend	<u>116,000</u>	<u>158,000</u>
Ending Retained Earnings	<u>1,298,400</u>	<u>1,006,000</u>

Notes:

1. In 2023, cash sales amounted to \$100,000, while in 2022, they were \$88,000. The corresponding cost of sales for 2023 was \$74,000, compared to \$70,000 in 2022.
2. The bank loan was borrowed on 31 December 2021 and the principal need to be repaid in equal annual instalments on 31 December over a period of five years.

Required: Provide the answers for items [A] to [T].

Answers expressed to **two decimal places**.

	2023	2022
a) Acid Test Ratio	[A]times	[B]times
b) Accounts Receivable Turnover	[C] times	[D] times
c) Inventory Turnover	[E] times	[F] times
d) Dividend Pay-out Ratio	[G]%	[H]%
e) Time interest earned ratio	[I]times	[J] times
f) Debt to total assets ratio	[K]%	[L]%

g) By using horizontal analysis, there was an increase in net income by [M]% from 2022 to 2023.

For the following questions, please state year 2023 or 2022.

h) The company had a better control to collect accounts receivable on time in year [N].

i) The company had a longer inventory holding period in year [O].

j) The company's management was more willing to return profits to shareholders in the form of dividends in year [P].

k) The company used more liabilities to finance assets in year [Q].

l) The company had a stronger ability to meet interest payments in year [R].

m) The company had a better position to pay off the short-term liabilities in year [S].

n) By using vertical analysis, the company had better control of the operating expenses in year [T].

Section B**Question 2 (20 marks)**

Visionary Ventures Corporation Statements of Financial Position 31 December				
		2023		2022
	\$	\$	\$	\$
Property, plant and equipment				
Plant	2,980,000		2,330,000	
Less: Acc. Depreciation-plant	<u>1,060,000</u>	1,920,000	<u>926,000</u>	1,404,000
Equipment	358,000		258,000	
Less: Acc. Depreciation- equipment	<u>69,000</u>	289,000	<u>38,000</u>	220,000
Current assets				
Merchandise inventory	428,000		328,000	
Accounts receivable, net	348,000		362,000	
Cash and cash equivalents	<u>104,000</u>		<u>36,000</u>	
		<u>880,000</u>		<u>726,000</u>
		<u>3,089,000</u>		<u>2,350,000</u>
Equity				
Share capital, ordinary at \$1 par	800,000		600,000	
Share premium, ordinary	300,000		200,000	
Share premium, treasury	22,000		0	
Retained earnings	1,003,000		716,000	
Less: Treasury shares	<u>45,000</u>		<u>0</u>	
Total equity		2,080,000		1,516,000
Non-current liabilities				
8% bonds payable		390,000		400,000
Current liabilities				
Accounts payable	330,000		192,000	
Accrued liabilities	128,000		72,000	
Income taxes payable	12,000		10,000	
Dividends payable	<u>149,000</u>		<u>160,000</u>	
		<u>619,000</u>		<u>434,000</u>
Total liabilities		<u>1,009,000</u>		<u>834,000</u>
Total equity and liabilities		<u>3,089,000</u>		<u>2,350,000</u>

Additional information

- i) Sold plant that cost \$260,000 for cash \$150,000 with a gain of disposal of \$12,000.
- ii) Sold equipment that cost \$82,000 and a book value at the date of disposal of \$68,000 for \$67,000. A fully depreciated piece of equipment, which had a purchase cost of \$28,000, was retired in June 2023.
- iii) Interest on all bonds was paid on 30 June and 31 December each year.
\$120,000 of the 8% bonds was redeemed at face value on 31 December 2023.
Issued \$110,000 at face value of the 8% bonds for purchase of plant assets.
- iv) The company issued additional ordinary shares on 1 March 2023.
- v) On 1 July 2023, the company bought some treasury shares at cost of \$9 each share.
- vi) An interim dividend of 16 cents (\$0.16) per share was paid on 1 September 2023 to holders of all the shares outstanding at that date.
- vii) 11,000 treasury shares were sold for \$121,000 in October 2023.
- viii) There is dividend payable of \$1,000 related to the year ended 31 December 2022.

Required: Prepare the statement of cashflows for the year ended 31 December 2023.

Section C**Question 3 (10 marks)**

Ironclad Enterprises, Inc (“IEI”)
Unadjusted Trial Balance
As at 31 March 2025

	Dr	Cr
	\$	\$
Accounts Payable		122,700
Accounts Receivable	300,000	
Accumulated Depreciation – Building		900,000
Accumulated Depreciation -Equipment		330,000
Allowance for Doubtful Accounts	1,800	
Bad Debt Expense	-	
Building	10,800,000	
Cash	542,200	
Depreciation Expense – Building	-	
Depreciation Expense – Equipment	-	
Dividends Payable		400,000
Equipment	900,000	
Freight-in	600	
Freight-out	700	
Insurance Expense	-	
Interest Expense	-	
Interest Payable		-
Interest Receivable	-	
Interest Revenue		-
Long-term Investment	2,800,000	
Gain/ Loss on Disposal	6,500	
Merchandise Inventory	670,000	
Miscellaneous Expense	-	
Notes Payable		210,000
Notes Receivable	120,000	
Ordinary Share Dividends Distributable		-
Prepaid Insurance	2,000	
Purchase Discounts		2,900
Purchase Returns and Allowances		1,900
Purchases	240,000	
Retained Earnings		628,000
Salaries Expense	180,000	
Salaries Payable		-
Sales Returns and Allowances	2,000	
Sales Revenue		500,000
Share Capital – Ordinary		7,000,000

Share Capital – Preference		4,000,000
Share Premium – Ordinary		1,400,000
Share Premium – Preference		1,000,000
Share Premium – Treasury		-
Supplies	9,000	
Supplies Expense	-	
Treasury Shares	45,000	
Unearned Revenue		130,000
Utilities Expense	5,700	
	XXXXXXXXX	XXXXXXXXX

The following information is available on 31 March 2025 for preparation of adjusting entries:

- (a) Physical count showed that \$3,600 of supplies remained on hand.
- (b) All employees worked for the whole month of March. The employees have a total salary of \$45,000 for a five-day work week.

All employees work a five-day week and **are paid every two weeks** on Friday, based on the number of days they have worked in the last two weeks.

Last payment day was on 28 March 2025 (Friday). IEI paid \$90,000 (\$45,000 x 2) for salary up to 28 March 2025 (Friday). Employees are entitled to full pay on public holidays but not on Saturdays and Sundays.

- (c) (i) Building and (ii) equipment are recorded at historical cost and their estimated useful lives are 50 years and 8 years respectively. No residual value is expected for the building. The building was acquired on 1 January 2021. The company uses straight-line method for all buildings. All the equipment is acquired on 1 January 2022. The company uses unit of activity method to depreciate equipment. The company expects that the salvage value of the equipment is 10 % of the purchase cost. The equipment is for packing and the total amount of packing for 8 years are estimated to be 810,000 units. The total packing in March amounted to 12,000 units.
- (d) The bank reconciliation shows a \$2,000 check received on 26 March 2025 was found to be a NSF check.
- (e) The physical count on 31 March 2025 showed that merchandise inventory remaining in the warehouse had a total cost of \$660,000. This includes inventory with a cost of \$50,000, but its net realisable value is only \$40,000.
- (f) The prepaid insurance was paid in July 2024 covering a 12-month general insurance from 1 July 2024 to 30 June 2025.
- (g) Allowance for bad debt is estimated based on 8% of the closing accounts

receivable balance due to dramatical down turn of the economy.

- (h) Recognize interest expense for the month.

(Information of the notes payable: On 13 March 2025, IEI purchased \$210,000 inventory by signing a 60-day, 8% notes payable.)

- (i) Recognize interest revenue for the month.

(Information of the notes receivable: Queen Company Limited, a customer, has financial difficulties and was unable to pay the outstanding balance of \$120,000 due on 20 March 2025. IEI has a long-term relationship with Queen Company Limited, and agreed to accept a 8%, 60-day note from the customer to settle the outstanding balance.)

Ironclad Enterprises, Inc (“IEI”) is a well establish watch trading company which **adopts the periodic inventory system**. IEI prepares its financial statements on a monthly basis.

Required:

Journalize the adjusting entries for the information (a) to (i) for the month ended 31 March 2025. Leave the space blank if no entry is required. All the accounts in the chart of accounts are listed in the Unadjusted Trial Balance provided. No explanation is required.

Question 4 (10 marks)

B. Van, a former professional tennis star, operates Van's Tennis Shop at the Green River Resort.

Van's Tennis Shop is using a **perpetual inventory system**.

At the beginning of 1 April, the ledger of Van's Tennis Shop showed Cash \$7,100, Accounts Receivable \$3,700, Merchandise Inventory (consists of Sports suits and shoes) \$4,600, Accounts Payable \$2,900, Share Capital-Ordinary \$6,500 and Retained Earnings \$6,000.

The following transactions were completed during April.

1 April: Paid \$1,000 to a supplier for sports shoes purchased in March.

On 2 April:

The balance of the Merchandise Inventory account was \$ [A].

The balance of the Cash account was \$[B]

The balance of the Accounts Payable account was \$ [C].

3 April: Purchased racquets and balls from a new supplier, Fitness Co., \$5,000, FOB shipping point, terms 3/10, n/30.

6 April: Paid freight on purchase from Fitness Co. \$100.

On 8 April:

The balance of the Merchandise Inventory account was \$ [D].

The balance of the Cash account was \$[E]

The balance of the Accounts Payable account was \$ [F].

10 April: Received credit of \$200 from Fitness Co. for a racquet that was returned.

13 April: Paid Fitness Co. in full.

On 15 April:

The balance of the Merchandise Inventory account was \$ [G].

The balance of the Cash account was \$[H].

The balance of the Accounts Payable account was \$ [I].

16 April: All the beginning inventory and 50% of the goods purchased on 3 April from Fitness Co was sold for \$15,000 to POP Ltd. POP Ltd paid \$5,000, the remaining amount is on account.

On 17 April:

The balance of the Cost of Goods Sold was \$ [J].

Required: Provide the answers for items [A] to [J].

Question 5 (10 marks)

The following are the account balances of SUET Corporation as at 1 January 2024:

	\$
Share Capital -Preference (8%, \$100 par, non-cumulative, 10,000 shares authorized)	600,000
Share Capital -Ordinary (\$5 par value, 1,000,000 shares authorized)	1,800,000
Share Premium - Preference	60,000
Share Premium - Ordinary	900,000
Share Premium - Treasury	5,000
Retained Earnings	1,450,000
Treasury Shares-Ordinary (5,000 shares)	100,000

The following transactions were completed during the year ended 31 December 2024:

900 treasury shares were sold for \$20,700 on 31 March 2024, the Share Premium-Treasury account balance at the end of 31 March 2024 was \$[A].

1,600 treasury shares were sold for \$33,600 on 30 April 2024, Share Premium -Treasury account balance at the end of 30 April 2024 was \$ [B]. The Retained Earnings at the end of 30 April 2024 was \$ [C].

Cash dividend for ordinary shares was declared and paid on 2 May 2024 of \$0.6 per share. The total amount of dividend paid for ordinary shares was \$[D].

2,500 treasury shares were sold for \$ 42,000 on 31 May 2024, Treasury Shares-Ordinary account balance at the end of 31 May 2024 was \$ [E]. The Retained Earnings at the end of 31 May 2024 was \$ [F].

The total dividend for all the preference shares for the year was \$ [G]. The dividend is declared and paid on 30 September 2024.

The account balance of Share Capital-Ordinary at 31 December 2024 was \$3,000,000 and Share Premium-Ordinary was \$1,800,000.

The number of ordinary shares issued in year 2024 was [H], the issuing price per share was \$[I] and the total cash proceeds from issue of shares were \$ [J] if all the shares were issued for cash.

(Assumption: no other equity transactions took place, the company does not maintain a separate Dividend Account)

Required: Provide the answers for items [A] to [J].

Question 6 (10 marks)

Chic Styles, Inc (“CSI”) is a toys trading company which adopts the periodic system.

CSI prepares its financial statements on a monthly basis. The balances of the adjusted trial balance items of CSI as at 30 September 2024 are listed as follows:

	\$	
Accounts Payable	300,000	
Accounts Receivable	400,000	
Accumulated Depreciation – Building	900,000	
Accumulated Depreciation – Equipment	500,000	
Accumulated Depreciation – Motor vehicle	249,500	
Allowance for Doubtful Accounts	35,000	
Bad Debt Expense	30,000	
Building	6,000,000	
Cash	750,000	
Depreciation Expense – Building	40,000	
Depreciation Expense – Equipment	35,000	
Depreciation Expense – Motor Vehicle	25,000	
Dividends Payable	250,000	
Equipment	1,100,000	
Freight-in	2,000	
Freight-out	2,500	
Insurance Expense	30,000	
Interest Expense	1,000	
Interest Payable	1,000	
Interest Receivable	1,500	
Interest Revenue	1,500	
Long-term Investment	2,800,000	
Loss on Disposal	10,000	
Merchandise Inventory	500,000	
Motor Vehicle	1,000,000	
Notes Payable (due in 3 months)	150,000	
Notes Receivable (due in 3 months)	130,000	
Prepaid Insurance	5,000	
Purchase Discounts	1,500	
Purchase Returns and Allowances	2,500	
Purchases	600,000	
Retained Earnings	2,000,000	
Salaries Expense	125,000	
Salaries Payable	18,000	
Sales Returns and Allowances	15,000	
Sales Revenue	1,000,000	
Share Capital – Ordinary	6,500,000	
Share Capital – Preference	400,000	
To be continued.....		

Share Premium – Ordinary	1,200,000	
Share Premium – Preference	120,000	
Supplies	3,000	
Supplies Expense	11,000	
Treasury Shares	30,000	
Unearned Rent Revenue	25,000	
Utilities Expense	8,000	

As of September 30, 2024, the closing inventory cost at CSI's warehouse was \$650,000. This total includes \$40,000 worth of goods that were damaged and have no salvage value.

On September 26, 2024, CSI dispatched goods to their customer, ABC Limited. These goods, valued at a cost of \$120,000 and with a sales value of \$200,000, were shipped FOB destination and arrived at ABC Limited's warehouse on October 2, 2024.

Required:

With reference to the above information, apply the balances provided in the adjusted trial balance items table to calculate the following 14 items from [A] to [N].

Followings are selected items from the income statement	
for the month ended 30 September 2024	\$
Net Sales	[A]
Cost of Good Purchased	[B]
Cost of Goods Available for Sale	[C]
Cost of Goods Sold	[D]
Gross Profit	[E]
Total Operating Expense	[F]
Operating Profit	[G]
Net Income	[H]
Following is a selected item from retained earnings statement	
for the month ended 30 September 2024	
	\$
Ending Retained Earnings	[I]
Following are selected items from the statement of financial position	
as at 30 September 2024	
	\$
Property, Plant and Equipment (net book value)	[J]
Long-term Investment	[K]
Current Assets	[L]
Total Assets (not required)	
Current Liabilities	[M]
Equity	[N]
Total Liabilities & Equity (not required)	

Section D

Question 7 (20 marks)

Discuss FIVE costs and FIVE benefits of applying advanced technology to the preparation of bank reconciliation statements.